

THE INVESTigator

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WHY ASSET ALLOCATION IS NECESSARY

2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Gold 24.00	Gold 29.00	Mid-cap 38.52	International 29.60	Small-cap 62.91	Credit risk 10.00	G-sec 15.00	Small-cap 59.64	Gold 8.00	International 27.31
Large-cap 17.43	Real estate 17.72	Small-cap 36.45	Large-cap 8.98	Mid-cap 54.69	Corporate bond 9.00	Corporate bond 12.00	Mid-cap 48.13	G-sec 8.00	Gold 18.00
Small-cap 16.69	Credit risk 8.00	Large-cap 25.70	Real estate 7.46	Large-cap 29.89	Mid-cap 7.43	Credit risk 12.00	Large-cap 27.91	Large-cap 5.91	Large-cap 12.65
Mid-cap 16.15	Corporate bond 8.00	Real estate 17.07	Credit risk 7.00	G-sec 17.00	G-sec 7.00	Gold 11.00	International 19.42	Corporate bond 5.00	G-sec 12.00
International 12.78	T-Bill 4.61	International 13.40	Corporate bond 6.00	Credit risk 14.00	Small-cap 6.10	Real estate 9.63	Credit risk 8.00	Credit risk 5.00	Corporate bond 10.00
Corporate bond 7.00	G-sec 4.00	G-sec 13.00	T-Bill 5.50	Corporate bond 13.00	T-Bill 5.38	International 9.54	Corporate bond 7.00	Real estate 4.83	Credit risk 8.00
Credit risk 6.00	International 0.00	Gold 12.00	G-sec 2.00	Real estate 11.91	Real estate 4.52	Mid-cap 7.97	Real estate 6.40	T-Bill 4.08	T-Bill 4.20
Real estate 5.50	Large-cap -24.64	Credit risk 11.00	Mid-cap -5.73	International 11.39	International -0.73	T-Bill 4.73	Gold 6.00	International -6.24	Real estate 2.60
G-sec 4.00	Mid-cap -34.19	Corporate bond 11.00	Small-cap -9.67	T-Bill 5.72	Large-cap -5.03	Large-cap 1.95	T-Bill 4.03	Mid-cap -13.38	Mid-cap -4.01
T-Bill 3.00	Small-cap -36.41	T-Bill 5.59	Gold -18.00	Gold 2.00	Gold -8.00	Small-cap 1.77	G-sec 2.00	Small-cap -23.53	Small-cap -8.98

BECAUSE: WINNERS KEEP ROTATING

- ✓ The table ranks 10 asset classes in order of their return performance- from the highest to lowest- for each calendar year from 2010 to 2019. For example, Gold was the best performer in 2010, 2011, 2018 and came in second with 18% in 2019.
- ✓ There is no pattern in the returns of the asset classes from one year to the next year. For instance, Mid-cap & Small cap have been top rankers in 2017, but bottom rankers in 2018 & 2019. Similarly, Gold has not performed in 2013-15, but it is at rank 1 in 2018 and rank 2 in 2019. In 2018, International equity has given negative returns but in 2019 it has outperformed all other asset classes.
- ✓ **Therefore, a diversified portfolio of Indian equity, Debt, Gold and International equity is key to steering through every market condition. Such a portfolio may not deliver the highest return in any given year but will perform competitively across market cycles.**
- ✓ **Also, it is dangerous to choose the best performer of previous year**

ROLLING RETURNS OF SIP IN SENSEX

Rolling returns since inception of BSE Sensex:

SIP Tenure	% of times returns are			
	Negative	Between 0-8%	Between 8%-12%	> 12%
1 Year	29%	12%	5%	54%
2 Year	23%	13%	9%	54%
3 Year	15%	19%	13%	53%
5 Year	9%	17%	20%	53%
7 Year	8%	15%	21%	56%
10 Year	6%	9%	25%	61%
12 Year	1%	12%	23%	64%
15 Year	0%	5%	21%	74%
20 Year	0%	0%	20%	80%

Rolling returns since inception of BSE Sensex (i.e. 03 Apr 1979 till June 30, 2020);

Source: DSP Internal

- ❖ The above data shows Rolling Returns of SIP in Sensex since 1979 to June 2020. A rolling return is the average of a series of returns over a long period of time. Returns can be rolled on a daily, weekly or monthly basis. By 1 year Rolling return we understand that SIP is done for 1 year only, as many times during the given period, and its average returns are then recorded. Same for 3 year, 5 year, 10 year, and 15 year SIP's.
- ❖ We observe that SIP's up to 3 year periods have a greater chance of giving negative returns. And, SIP's done continuously for 7, 10, or 12 years have a higher chance of giving CAGR of more than 12%.

❖ **Secret of Success in S.I.P. = DISCIPLINE & LONG TERM**

NIPPON INDIA MULTI ASSET FUND

[NFO opens: 7th August 2020 & Closes: 21 August 2020]

Investment Strategy & probable allocation:

NEW LAUNCHES

1. **Indian Equity – 50%** -Multicap investment strategy.
2. **Overseas Equity – 20%** -Investment across geographies based on prevailing view / tactical opportunity.
3. **Commodities – 15%** -Min 10% exposure to Gold and 5% exposure to other commodities like Silver, Energy etc.
4. **Fixed Income – 15%** - Portfolio with average maturity of 1.25 to 2.25 years.
 - 85% AAA and balance in AA+ and AA
 - Rebalancing will be done on a quarterly basis to adjust for any deviation in asset allocation due to any mark to market movement.
 - The fund is positioned as Debt Fund for the purpose of taxation. Therefore, benefit of LTG is after 3 years.
 - **The fund has potential to deliver 8% to 10% CAGR over a period of 5 years**

INTRODUCING: PPFAS MUTUAL FUND

Parag Parikh Long Term Equity Fund

[A combination of Local and Global Advantage]

Domestic Equity = Min 65% International Equity = Up to 35%

How combination of Indian and foreign stocks in the same portfolio helps investors:

1. It helps reduce country specific risks like political uncertainties, etc.
2. Different markets often move differently, i.e. winners keep rotating.
3. It helps reduce portfolio volatility.
4. Wider choice is available to the Fund Manager.
5. It helps take advantage of valuation differentials.

As on 31 July 2020,

AUM	1 YEAR	3 YEARS	5 YEARS
3514Cr	18.67%	11.29%	11.42%

As on 30th June 2020, besides domestic equity the fund has investment in the following overseas equity:

AMAZON.COM INC	8.83%
ALPHABET INC	7.91%
FACEBOOK INC	5.90%
SUZUKI MOTOR CORP(ADR)	4.14%
MICROSOFT CORPN	2.13%

The Fund was launched on 28TH May 2013 by PPFAS Mutual Fund and since launch the fund has given 16% C.A.G.R.

5 Benefits of SIPs



Lighter on the wallet



Makes market timing irrelevant



Enables rupee-cost averaging



Benefits from power of compounding



Helps in goal planning

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Mutual Fund investments are subject to market risks, read all scheme related documents carefully.



SWAP CONSULTANTS PVT. LTD.

Above NCC Office, VCA Complex, Civil Lines, NAGPUR – 440 001
0712-6641166 / 67, Mob 93726 93725 email : swapconsultants@yahoo.com